

We Found 3 Leaks Costing You ~40% of Ad Spend

Prepared by Smart Pursuit - Performance Marketing for Scaling D2C & Edtech Brands

LEAD SCORE

8

/ 10 HOT

**Rs.1,000+ Cr
FY26 (Tracxn);
Rs.500 Cr ARR hit
Apr 2024; grew
30%+ YoY;
EBITDA positive
YTD; Honasa
Consumer
portfolio**

**D2C Derma
Skincare /
Actives-based
Beauty**

95+

Active Meta ads

Rs.3-4 Cr/mo

Est. monthly spend

Niche

Revenue

EXECUTIVE SUMMARY

The Derma Co (thedermaco.com, founded 2020 by Varun & Ghazal Alagh, Honasa Consumer) is India's fastest-growing actives-based derma skincare brand, crossing **Rs.1,000 Cr annual revenue** in FY26 and hitting EBITDA positive. We identified **~95 active creatives** running across Meta in India, spending an estimated **Rs.3-4 Cr/mo** on hero SKUs: 1% Hyaluronic Sunscreen Aqua Gel (SPF 50 PA++++), 10% Vitamin C Serum, 2% Kojic Acid Serum, 2% Salicylic Acid Face Wash, and acne patches.

Three obvious leaks in the funnel: (1) **Heavy promo + doctor-led creative, thin real-customer UGC** - ads are dominated by 'X% off' discount hooks plus dermatologist-as-spokesperson shots, while customer before/after transformation, texture demos and 30-day journey reels are thin even though beauty benchmarks show before/after UGC delivers **2.3x higher ROAS** than brand creative. (2) **Discount anchoring erodes AOV and retention** - high %-off promos train buyers to deal-hunt; sunscreens and serums are replenishment goods, not impulse buys, and the creative under-indexes on regimen/routine bundling. (3) **Portfolio audience bleed + weak SKU retargeting** - running inside Honasa alongside Mamaearth/Aqualogica/Dr Sheth's/BBlunt without cross-brand suppression, plus PDP-view to ATC retargeting appears generic-brand rather than SKU-specific before/after.

Competitive heat is rising: **Foxtale raised \$56.8M (Series C)** and runs 87% PDP-routed ads with heavy close-up before/after UGC, Deconstruct is Kalaari/Beenext-backed ingredient-minimalism, and Minimalist (HUL-owned) dominates ingredient-percentage trust. With Honasa pushing Derma Co + Dr Sheth's as the next growth engine to a Rs.5,000 Cr group target by 2030, ad efficiency directly compounds. We estimate **35-45% of ad spend is leaking**; HOT lead.

1. AD INTELLIGENCE

Active platforms	Meta (FB+IG) primary; Google Search for ingredient/concern keywords (sunscreen, vitamin c serum, kojic acid, salicylic acid); Amazon/Flipkart marketplace ads; quick commerce (Blinkit/Instamart) 5% of sales growing; US/intl on separate thedermaco.store Shopify.
Active ads count	~95 live creatives across hero SKUs: 1% Hyaluronic Sunscreen (SPF 50), 10% Vit C Serum, 2% Kojic Acid Serum, 2% Salicylic Acid Face Wash, acne patches, sunscreen stick, anti-acne, open-pores, pigmentation ranges.
Duration signals	Hero SKUs (sunscreen, salicylic wash) run 45+ day evergreen with heavy discount rotation; new launches run 14-21 day influencer-burst windows; promo creative (flat 30-40% off) dominates sale periods leading to promo-fatigue.
Funnel type	Shopify D2C; heavy discount-led (B2G1, flat % off); dermatologist/doctor credibility hooks; app not primary; quiz/routine-finder exists but under-promoted in ads.
Budget signal	Rs.3-4 Cr/mo on Meta conservatively (brand at Rs.1,000 Cr revenue with 30%+ growth, Honasa group ad scale, 95 ads live). Top-tier Indian derma-skincare spender alongside Minimalist/Foxtale.
Campaign structure	SKU-siloed by concern (acne/pigmentation/suncare); promo bursts around sale days; influencer/derm KOL rotation; Advantage+ Shopping likely in use but creative refresh cadence is slow; sister-brand overlap with Mamaearth/Aqualogica/Dr Sheth's audiences not segmented.

2-5. CREATIVE / COPY / CRO / TRACKING SCORES

Creative Variety		4/10
UGC & Social Proof		3/10
Copy & Hook Strength		4/10
Landing Page CRO		4/10
Tracking & CAPI		5/10
Retargeting Depth		3/10

- **Creative leak:** Ad mix is heavy on discount announcements ("Flat 30% off", "Buy 2 Get 1") and dermatologist-spokesperson studio shots, while real-customer transformation content (28-day acne clearing, 30-day pigmentation fade, texture close-ups, application routine) is thin. Skincare benchmarks (Monaqo/Agora 2025) show before/after UGC delivers **2.3x ROAS over brand creative** in beauty, with before/after-with-specific-concern identification being the winning format. The derm-cred positioning is strong but overused as the only hook, making creative feel repetitive.

- **Copy leak - discount anchoring:** Headlines over-index on price/promo ("Flat 30% off", "Starting Rs.299") rather than skin-outcome ("Active acne in 14 days", "Pigmentation -60% in 28 days"). For actives-based derma skincare at Rs.300-800 price points, buyers choose on clinical proof + peer results before price. Heavy discounting also trains repeat purchase behavior to wait for sales, eroding replenishment LTV in a category where 45-90 day repeat is the profit engine.

- **Landing page leak:** PDPs lead with offer banners and product beauty shots, but texture-close-up GIFs, in-use demo videos, day-by-day result carousels, and regimen-bundling ("Complete your 3-step AM routine") sit below the fold. Sticky ATC on mobile shows price but not star-rating + review count + 'X people bought this in last 24h' social proof. Quiz/routine-finder exists but ad traffic lands on SKU PDPs rather than concern-specific routine pages.

- **Tracking & portfolio leak:** As a Honasa brand sharing ad accounts/infrastructure with Mamaearth, Aqualogica, BBlunt and Dr Sheth's, there is likely audience bleed (a buyer of Mamaearth Ubtan face wash doesn't want Derma Co salicylic ads served to them) and CAPI event dedup between sister brands needs verification. Retargeting appears to use generic brand creative rather than SKU-specific before/after per audience (PDP-view-no-ATC, ATC-no-purchase, past-purchaser cross-sell, replenishment-at-45-days).

6. COMPETITOR BENCHMARK

Competitor	What they do better	Signal for The Derma Co
Foxtale	\$56.8M Series C (Panthera/Z47); 450K branded searches/mo (-9%); 87% of ad traffic routed to PDPs (HQ Digital); heavy close-up before/after UGC; fast creative velocity.	Direct actives-cohort rival outspending on paid with UGC-first creative template - the gap is creative, not budget.
Minimalist (HUL-backed)	Ingredient-% transparency (5% Niacinamide, 10% Vit C labels); 550K branded searches/mo; FMCG distribution + capital muscle post HUL 90.5% acquisition.	Derma Co's ingredient-% positioning is correct but creative doesn't hero specific % claims at thumbstop the way Minimalist does.
Deconstruct	Kalaari/Beenext-backed (Series A \$10.4M); ingredient-specific SKU storytelling (e.g. Vitamin C #1 in prompt funnel per HQ Digital); minimal-pack aesthetic; founder-led content.	Smaller budget but sharper ingredient-minimalism positioning; eating search demand on specific actives.

7. 3 QUICK WINS (Implement in 7 Days)

WIN 1 - Creative: 30 Real-Customer Transformation UGC Reels (28-Day Journeys, Texture, Derm Q&A;)

Shoot 30 vertical Reels monthly: (a) 8 before/after 14/28-day journeys (acne clearing, pigmentation fade, open-pores tightening, sunscreen glow) with real customers and specific day-stamps, (b) 8 texture + application demos ("sinks in 30 seconds", "no white cast", "pill-free under makeup"), (c) 6 derm-Q&A; educational clips (not selling - "Can I use salicylic + niacinamide together?") to build trust, (d) 4 routine-integration clips (AM/PM for oily/acne-prone), (e) 4 unsponsored-looking unboxing/first-impression clips from micro-creators (10K-100K). Pair every promo ad with a UGC variant per ad set; cap promo-led creative at 30% of spend. Expected: ROAS +40-60% on top-spend SKUs, CPA -25-35%. Before/after UGC is the highest-ROAS format in Indian skincare per 2026 benchmarks.

WIN 2 - CRO: Outcome-First PDPs + Regimen Bundles + Sticky Social-Proof ATC

On top 10 SKUs: move the hero banner from 'Flat X% off' to an outcome statement ("28 days to visibly clearer acne") with small offer badge; add texture GIF, 15-second in-use video and day-1/7/14/28 result strip above the fold; add sticky mobile ATC with price, star rating, review count and 'X bought in last 24h' FOMO; introduce concern-specific regimen bundles (AM + PM for acne-prone; pigmentation routine) at 10% bundle discount vs single-SKU discounting, which lifts AOV 25-40%; route ad traffic to concern-landing pages (acne/pigmentation/suncare) rather than SKU PDPs where users can self-select into a 3-step routine. Add a lightweight 'Find your routine' quiz on the landing page (3-4 questions) that routes to bundle pages. Expected: PDP CVR +30-45%, AOV +20-25%.

WIN 3 - Tracking: Honasa Portfolio CAPI + Sister-Brand Suppression + SKU Replenishment Loops

Audit Meta CAPI across Honasa brands for proper server-side event dedup and cross-brand user stitching. Add **audience suppression** between sister brands (if user purchased Mamaearth or Aqualogica in last 60 days, don't serve Derma Co retinol/sunscreen ads unless they explicitly engaged with Derma Co content) to stop portfolio cannibalization. Build 5 SKU-specific retargeting audiences: (1) PDP-view no ATC -> texture demo + derm explanation, (2) ATC no purchase -> review snippets + small offer, (3) first-purchase at 30 days -> rest-of-routine cross-sell, (4) replenishment reminders at 45/60/75 days for sunscreens/serums/washes, (5) past 2x+ buyers -> VIP early access + referral. Add a 'subscribe & save' option for replenishment SKUs. Expected: retargeting ROAS +50-80%, repeat rate +15-25%, cannibalization waste cut ~20%.

EXPECTED IMPACT

Metric	Current (est.)	After Wins	Impact
CTR (Meta)	0.9-1.3%	1.5-2.1%	+40-60%
PDP CVR (Shopify)	2.2-2.8%	3.0-4.0%	+30-45%
AOV	Baseline = 100	120-125	+20-25% (bundles)
Cost Per Purchase	Baseline = 100	62-75	-25-38%
Ad Spend Wastage	~35-45%	~12-18%	Saves ~Rs.1-1.6 Cr/mo

READY TO PLUG THESE LEAKS?

Smart Pursuit will run a **14-day performance sprint** for The Derma Co: Creative refresh, CRO rebuild of top landing pages, CAPI + retargeting setup. We work on a **performance-fee model** tied to conversion-cost reduction.

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